NewAge Global Fintech

Quarterly Report · Q3 FY2024

For the third quarter of fiscal year 2024

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1. Overview

Investment in fraud analytics focused on earlier detection of account takeover patterns. Treasury extended the maturity profile of wholesale funding during the period.

The quarter continued the programme of consolidating payment rails onto a single settlement platform. The markets desk continued to serve corporate clients with hedging and short-term funding products.

Partnership agreements with two payroll providers moved from pilot into general availability. Operating teams completed the migration of merchant onboarding to the shared identity service.

The board approved the updated capital plan and the dividend policy remained unchanged. The group kept its funding mix stable, with customer deposits remaining the primary source of liquidity.

1.2 Customers

Customer accounts reached 1.6 million at the end of Q3 FY2024, with most new accounts opened through the mobile application.

Regional teams harmonised product terms so that customers see one fee schedule in every market. Customer complaints fell compared with the prior quarter after changes to dispute handling.

Cost discipline remained a priority, and discretionary spending was held flat. The compliance function completed its annual review of sanctions screening controls.

Investment in fraud analytics focused on earlier detection of account takeover patterns. Risk management reviewed concentration limits across the lending book and found no breaches.

Data platform work concentrated on lineage, so that every reported figure can be traced to its source. The group kept its funding mix stable, with customer deposits remaining the primary source of liquidity.

Staff training covered the revised conduct framework and the new incident reporting procedure. Regional teams harmonised product terms so that customers see one fee schedule in every market.

The board approved the updated capital plan and the dividend policy remained unchanged. Customer research informed changes to the mobile application's statement and document views.

2. Strategy and operations

Cost discipline remained a priority, and discretionary spending was held flat. Customer complaints fell compared with the prior quarter after changes to dispute handling.

Regional teams harmonised product terms so that customers see one fee schedule in every market. The group continued to simplify its legal entity structure where this reduces operating cost.

The markets desk continued to serve corporate clients with hedging and short-term funding products. The lending business tightened underwriting criteria for unsecured products in selected segments.

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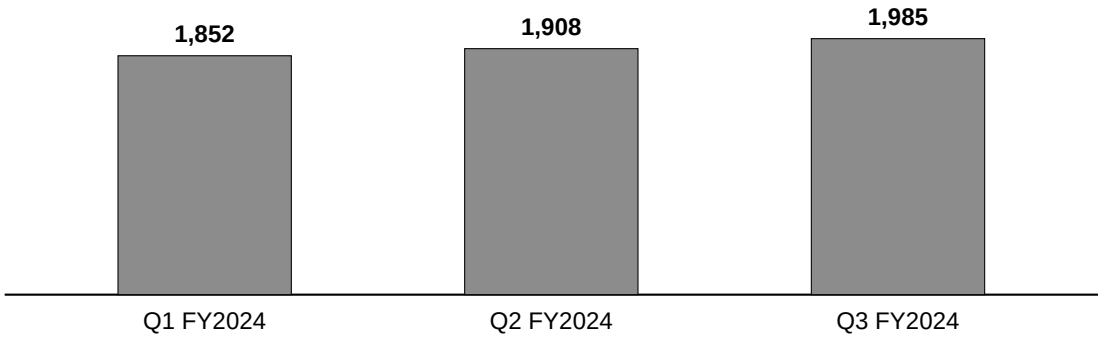
Figure 1 · Digital transactions processed · millions



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Card issuing volumes followed the usual seasonal pattern for the period. Data platform work concentrated on lineage, so that every reported figure can be traced to its source.

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3. Results

The group kept its funding mix stable, with customer deposits remaining the primary source of liquidity. Card issuing volumes followed the usual seasonal pattern for the period.

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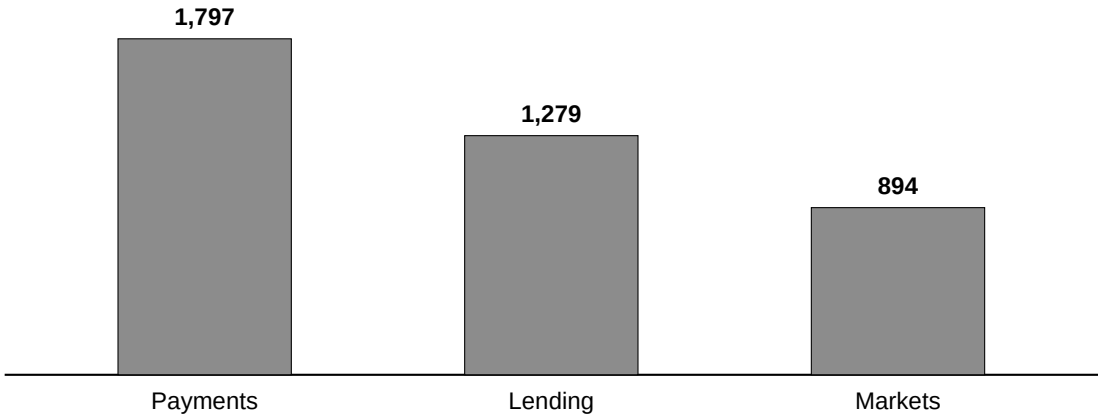
3.2 Revenue by segment

Figure 2 · Revenue by segment · Q3 FY2024 · USD millions



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3.3 Revenue commentary

Revenue rose in each quarter of FY2024. Management expects modest growth in H2, as pricing changes in the payments business annualise and lending volumes stay selective.

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3.4 Revenue by quarter

The table below sets out total revenue for each quarter of the fiscal year.

Table 3 · Total revenue · USD millions

Quarter	Total revenue
Q1 FY2024	3,705
Q2 FY2024	3,815
Q3 FY2024	3,970
Q4 FY2024	4,090[1]

[1] Q4 figures are preliminary.

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3.5 Operating expenses

Partnership agreements with two payroll providers moved from pilot into general availability. Card issuing volumes followed the usual seasonal pattern for the period.

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Table 4 · Operating expenses by region · USD millions

Region	Q3 FY2024
Americas	757
EMEA	796

Table 4 continues on the next page.

Table 4 (continued) · Operating expenses by region · USD millions

Region	Q3 FY2024
APAC	557
Corporate[2]	268
Total	2,378

[2] Excludes discontinued operations.

4. Outlook

Customer research informed changes to the mobile application's statement and document views. Partnership agreements with two payroll providers moved from pilot into general availability.

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